

OrgDNA

The Organizational Problem

Organizations are combinations of people (actors/decision-makers) and resources (productive resources/capital) working for a common goal. They come into being to address problems too large for an individual to solve, and too complex or interdependent for a decentralized solution (such as through a market).¹

Organizations must act and make decisions to achieve these goals.

Because organizations bring together people with independent needs and limited information about the world, organizations struggle to ensure that all their pieces work well together. They must solve two key problems: (1) **coordination of work**, or the problem of managing interdependencies between individuals (and resources) involved in achieving their goal; (2) **the provision and alignment of effort**, or the problem of ensuring that people and teams are motivated to work for common rather than individual interests. Even at their best, organizations can fail to take coordinated and aligned actions, or can make poorly informed or misaligned decisions.

In short, organizing is hard. It is hard because it requires people with different perspectives, incentives, and constraints to move in concert, often under conditions of uncertainty and change. Yet it is precisely this difficulty that makes organizations so fascinating—and leadership so consequential.

Organizational analysis is the study of how organizations address the coordination and alignment problems as they work toward their goals. Few organizations are able to solve both problems perfectly, and there is rarely a single optimal way to achieve any goal. In addition, changes in the context in which organizations operate—such as new market conditions, new technologies, evolving employee expectations (such as from increasingly diverse talent pools), and growing demand for organizations to be socially responsible—necessarily introduce new challenges in the effort to achieve coordination and alignment and prompt the need for organizations to be **adaptable**.

The **Organizational DNA (OrgDNA)** is a toolkit for systematically analyzing the underlying arrangements and dynamics that affect the organization's ability to solve

¹ Consider the solution to the ozone hole: In the 1980s, scientists linked the disappearance of ozone in the upper atmosphere—a layer that protects life on earth against solar radiation—to a range of chemicals made by a variety of companies. Because no individual company had a strong incentive to reduce its own production of these chemicals, 43 nations coordinated to sign the 1987 Montreal Protocol, forcing the joint phase-out of these chemicals.

the problems facing organizations. It breaks an organization down into various *elements* that contribute to an organization's ability to coordinate and align. Each element addresses different parts of the coordination/alignment dilemma—for example, the frequency at which two teams communicate, or the norms around who speaks first at a meeting. Some components are intentionally designed by leaders in the organization; others emerged as benevolent evolutions; others still may be unfortunate habits that the organization has fallen into. Taken together, these elements make up the organization—they form its DNA.

The **OrgDNA** is not the only possible framework for examining these components—any organization can be understood in multiple ways. But effective organizational analysis requires a systematic examination of the parts of the organization and how they work together. Think of the **OrgDNA** as a checklist to help you make sure you haven't forgotten anything.

Inside the OrgDNA

The OrgDNA framework can be understood as describing both the *lenses* through which we can view an organization and the *layers* that make up its inner structure.

Each element—**Architecture, Culture, and Influence**—is both a lens for analysis and a structural layer of organizational life:

- **Architecture** is the **lens of structure**, the formal layer of roles, rules, processes, and incentives that defines how work and decisions are organized.
- **Culture** is the **lens of meaning**, the interpretive layer of shared values, symbols, and taken-for-granted assumptions that shape how people behave.
- **Influence** is the **lens of power**, the relational layer through which individuals and groups shape outcomes beyond formal authority.

Together, these lenses and layers allow us to see both the visible and invisible forces that hold organizations together—or pull them apart.

At the center of these dimensions sits leadership. Leadership is not a fourth, separate element but the connective tissue through which architecture, culture, and influence are shaped—and through which leaders themselves are shaped. Leaders set purpose and direction, decide on structures, and influence culture and values. At the same time, leaders are constrained and enabled by the very architecture, culture, and influence patterns they inherit. Effective leadership therefore requires seeing both sides of this relationship: how leaders can act upon organizational DNA, and how organizational DNA acts upon leaders.

Architecture

An organization's architecture (or formal structure) is typically the first thing that comes to mind when considering an organization's design. Organizations must act and make decisions, and managers take great care to define how, when, and by whom decisions get made. The formal architecture of an organization defines organizational charts, job roles, workflows, processes, physical layout, and incentives. An organization's architecture is typically determined centrally by senior leaders (acting as organizational designers) and acts as a "blueprint" for the organization, representing the way an organization operates, at least in theory. While architecture can be easy to observe, as the elements of an organization's architecture are generally formalized, it is rarely sufficient to understand how an organization operates.

Culture

The **culture** of an organization (or team, group, division) describes the shared *beliefs* and *values* held by a group of people, as well as the *artifacts* that reveal that culture to the world. An organization's culture can help it make consistent decisions without any direct orders or formal leadership. Culture describes the ways in which particular actions, decisions, or behaviors become habitual within an organization. It describes a variety of patterns, from norms around when to arrive at/leave from the office, to the formality of dress codes or communication styles, to the kinds of behavior that are considered exemplary or praiseworthy. Unlike the organization's architecture, which is formal, culture generally emerges informally. Furthermore, while much of culture emerges spontaneously, organizational leaders play an important role in shaping the culture, and they have a responsibility to use the levers at their disposal to influence the culture when its natural development threatens to make the organization toxic or ineffective.

Influence

While formal architecture and informal culture define a great deal of how organizations solve typical problems that arise in their operations, no amount of habit or preparation can prepare an organization for every situation that will arise. In these cases, individuals can exert personal **influence** over decisions and outcomes. Influence is often understood as the domain of C-suite leaders, who wield authority over the strategic direction or design of the organization. But personal influence can crop up in unexpected places, from the leeway middle managers have over task assignment and promotions, to the control of schedules, agendas, and facetime held by an organization's "assistants." Beyond this, groups within the organization can exert collective power in the internal politics of an organization. The distribution and centralization of discretionary influence—whether

through formal hierarchy, informal networks, or status—determines who truly governs an organization at pivotal moments.



Going Further/Combinations

Architecture, *culture*, and *influence* define useful high-level categories for understanding the behavior of an organization. But organizational phenomena frequently confound any attempt to cleanly define them. Deep organizational analysis explores how organizational phenomena touch on multiple aspects of an organization's DNA. Intersectional patterns—such as **routines**, social **networks**, and **status** hierarchies—frequently determine the daily behavior of an organization.

Architecture x Culture: Routines

The solution to any sufficiently difficult problem involves a sequence of specific, reproducible steps that are hard for a novice to grasp, yet which come naturally to an expert. Organizations solve recurring problems by settling into **routines**—patterns of repeated behavior, modes of thought, or restricted attention. Routines can be consciously designed by process engineers and careful observation (a form of *architecture*), but many emerge spontaneously as individuals and teams

solve specific problems again and again (a form of *culture*). Routines often define the competitive advantage of an organization, as competitors find successful practices impossible to replicate—but leaders themselves may not be fully aware of critical routines, which can make it easy to accidentally break operations, or make it difficult for the organization to scale up.² Effective routines for creativity, experimentation, or optimization define which organizations move to the frontier of their fields. In addition, routines can also underlie organizational dysfunction, whether through ineffective patterns of communication and interaction, or inefficient work or decision making processes.

Architecture x Influence: Networks

Managing interdependencies within an organization requires defining how (and how often) different people interact with each other. This pattern of interactions generates the **social network** of an organization, the pattern of interpersonal ties that determines how information flows within an organization, and how it comes in from outside. Organizations whose members have broad ties beyond their own walls can spot and exploit opportunities ahead of their competitors. People with rich ties in particular social groups are able to identify which partners are trustworthy and which should be avoided. While managers and formal structures shape how frequently different people in the organization interact (*architecture*), networks are also shaped by the personal preferences and interests (*personal influence*). Organizations that are able to cultivate effective ties both within and outside their formal boundaries outperform those that attempt to isolate themselves from the environment. At the same time, leaders must be cautious—even as social networks feed individuals information that maximizes their performance on the job, richly-connected individuals will know their worth and can negotiate accordingly.

Culture x Influence: Status

Human beings are social creatures, and economic rewards play only a limited role in motivating individual behavior compared to the role of social rewards. **Status** describes how groups spontaneously generate internal hierarchies, granting particular individuals greater control or input over critical decisions, while taking it away from others. The *culture* of a particular group determines which people and behaviors they value, and exemplary members within this culture are able to exert greater *influence* over the group. Members of a social group prefer to spend time around high-status people, and they spontaneously defer to them in exchanges,

² In 1999, the \$330 million Mars Climate Orbiter attempted to enter orbit around Mars, but instead crashed into the surface. Investigation traced the crash to a software error resulting from incompatible assumptions about units: NASA software expected input in internationally recognized newton-seconds, while Lockheed Martin's software provided it with the US customary unit, pound-force-seconds.

negotiations, or critical decisions. A low-status manager may find themselves outplayed by a high-status subordinate. Status conflicts can create substantial tension in organizations. At the same time, effective status hierarchies can serve as a source of stability and knowledge transfer in times of crisis.

Internal and External Alignment

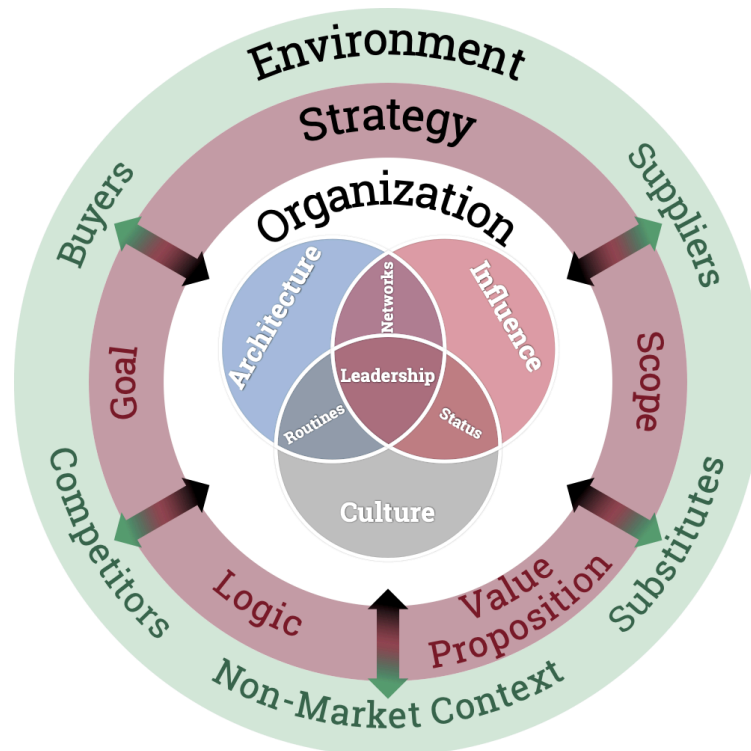
Within the framework of OrgDNA, it's important to recognize that there is no singular, ideal configuration of its elements. Rather, the efficacy of an organization hinges on the degree of alignment between these various elements. This alignment extends across the three primary dimensions: architecture, culture, and influence. A harmonious integration of these aspects results in an organization that operates cohesively, with its members working synergistically toward common objectives. Conversely, misalignment within OrgDNA components can result in confusion, inefficiency, and conflicting interests, impeding the organization's progress.

However, the notion of alignment in OrgDNA extends beyond its internal elements. An organization's internal dynamics must align with its external *environment*, which includes factors such as competitors, suppliers, regulatory frameworks, and market conditions, and with the *strategy* that those external conditions require. Achieving external alignment means adapting the organization's DNA to successfully navigate and respond to the challenges posed by the context in which it operates. It requires a keen awareness of external forces and a strategic approach to ensure that the organization's capabilities align with the demands and opportunities of the external landscape. At the same time, because organizations can be slow to change, organizational analysis can inform which strategies are available to an organization, and in which markets it should try to operate.

In essence, the ultimate determinant of an organization's success lies in the delicate balance of internal and external alignment. A cohesive alignment produces coherence and adaptability; misalignment yields confusion, inefficiency, or conflict. Because environments change faster than internal systems, the ongoing work of organizing is the work of realignment. By understanding that there is no one-size-fits-all OrgDNA configuration and by actively working to align both its internal and external dimensions, organizations can maximize their ability to thrive, adapt, and excel in an ever-changing and competitive landscape.

Concluding Thoughts

In this course, we will use this OrgDNA framework to help us understand and analyze the underlying organizational dynamics that explain the ability (or inability) of organizations to effectively solve the core problems of coordination and alignment. Throughout this course, we will progressively examine the elements and



interactions of OrgDNA by applying the framework to analyze cases of successful and unsuccessful organizations. The goal is not to find a perfect formula, but to sharpen your lenses as an observer and actor in complex systems. Organizing will always be hard—but by learning to see through these lenses and understand these layers, you can make it easier, for yourself and for those you lead.